



Total quality management

Success though customer satisfaction is the ethos of total quality management (TQM). Everything a company does is relevant, and the focus is on managing and improving processes rather than outcomes.

How it works

Companies use TQM to create a customer-focused organization that involves all employees in continuous improvement. It is a strategic and systematic approach that puts quality at the heart of the organization's activities and culture. Customers determine the level of quality, measured through their

satisfaction. The organization is viewed as a series of horizontal processes that take inputs from suppliers through to the outputs that are delivered to the customer. Recording and measuring performance data is critical, as is effective communication to maintain momentum.

WHAT TQM MEANS

- › **Total** Involves everyone and all activities in the company
- › **Quality** Conformity to meeting customer requirements
- › **Management** Quality can and must be managed

Case study: The Walt Disney Company

Manufacturing companies, in which the focus is on meeting or exceeding customer expectations by making products within certain specifications, are often used as TQM examples. TQM can also be applied in service industries, of which Disney is a very good example.

"TQM is a philosophy for managing an organization to meet stakeholder needs without compromising ethical values."

Chartered Quality Institute

The Walt Disney Company

Disney's goal is to maximize long-term shareholder value, and part of this involves delivering a magical customer experience at its theme parks.

Involve everyone in quality

Founder Walt Disney firmly believed in quality and saw it as everyone's job, something that could not be delegated.

Focus on the customer

Disney incorporated the TQM concept of quality into its approach to customer service. Its visitors are seen as guests and treated as VIPs and individuals.

Perfect processes

Walt Disney viewed the theme parks as factories producing delight. He built quality by designing processes and repeating them.